

Delinquent History of a Fictitious Auto Loan Owner: Customer #4015856

Introduction Customer #4015856 is a 51-year-old school bus driver residing in Topeka, Kansas. In October 2020, he financed a mid-size pickup truck through PlainsWest Auto Credit. The loan totaled \$29,400 with a six-year term and a 7.4% interest rate. This document outlines his evolving payment behavior, financial instability, delinquency factors, and eventual resolution.

Initial Loan Performance From October 2020 through December 2021, Customer #4015856 maintained a perfect payment record. His monthly payment of \$472 was supported by steady employment with the local school district and occasional weekend construction work. His credit score improved from 655 to 683 during this period.

Family Responsibilities Increase In January 2022, his elderly father moved into his home due to declining health, increasing household expenses. Between medical co-pays, utility increases, and home accessibility modifications, the customer's discretionary income tightened.

In March 2022, he missed his first payment. PlainsWest granted a one-month deferment. He resumed payments in April and May.

Unexpected Income Shock In July 2022, the school district reduced summer hours due to budget constraints. While the customer typically relied on summer overtime, this reduction significantly decreased his income. He missed July and August payments, placing his account 45 days delinquent.

Temporary Stabilization In September 2022, PlainsWest Auto Credit approved a three-month hardship plan: - Monthly payments lowered to \$300 - Remaining balance added to principal - Credit reporting marked as "modified – temporary hardship"

The customer completed the hardship period and resumed full payments in December 2022.

Medical Emergency and Renewed Delinquency In February 2023, Customer #4015856 required an unplanned hernia surgery. His short-term disability covered only 55% of his usual income. He missed February, March, and April payments, bringing his account to 90+ days delinquent.

The lender attempted multiple outreach calls. The customer responded sporadically, citing recovery time, reduced mobility, and increased medical expenses.

Repossession Action In May 2023, after 120 days of non-payment, PlainsWest initiated repossession proceedings. The vehicle was repossessed in early June.

Auction and Deficiency Balance At auction, the truck sold for \$15,000. After accounting for interest, fees, and the remaining balance, the deficiency totaled \$6,280. PlainsWest mailed required notices and outlined repayment options.

Re-engagement and Settlement In September 2023, after returning to full-time driving duties, the customer contacted PlainsWest Auto Credit. During a financial assessment, he disclosed that he was also supporting his father's long-term care needs.

The lender offered a settlement: - \$2,700 paid over 15 months - Remaining deficiency forgiven upon completion

The customer made timely payments and satisfied the settlement agreement in December 2024. His credit file now reflects: "Paid – Settled for Less Than Full Balance."

Analysis and Lessons Learned Customer #4015856's delinquency arose from overlapping and persistent strains: - Increased caregiving responsibilities - Lost supplemental income - Short-term disability reducing net pay - Rising medical and household costs

PlainsWest Auto Credit appropriately utilized hardship programs, payment extensions, outreach attempts, and a post-repossession settlement to align with the customer's financial capacity.

Conclusion This case illustrates how middle-aged borrowers balancing employment, medical issues, and family caregiving responsibilities can fall into delinquency despite a strong prior payment record. Compassionate loss mitigation practices can help create equitable resolutions for both borrower and lender.